

Stage-Gate and Portfolio Governance Procedure

Loblolly Ridge Therapeutics | Portfolio & Program Management | 2025-04-01

This procedure sets out how Loblolly Ridge decides to start, advance, pause, partner or stop a research or development program. It defines the six gates, who recommends and who approves each decision, what a gate package must contain and how exceptions are handled. Revision 3.1 replaces revision 3.0 and applies from April 1, 2025.

1. Scope

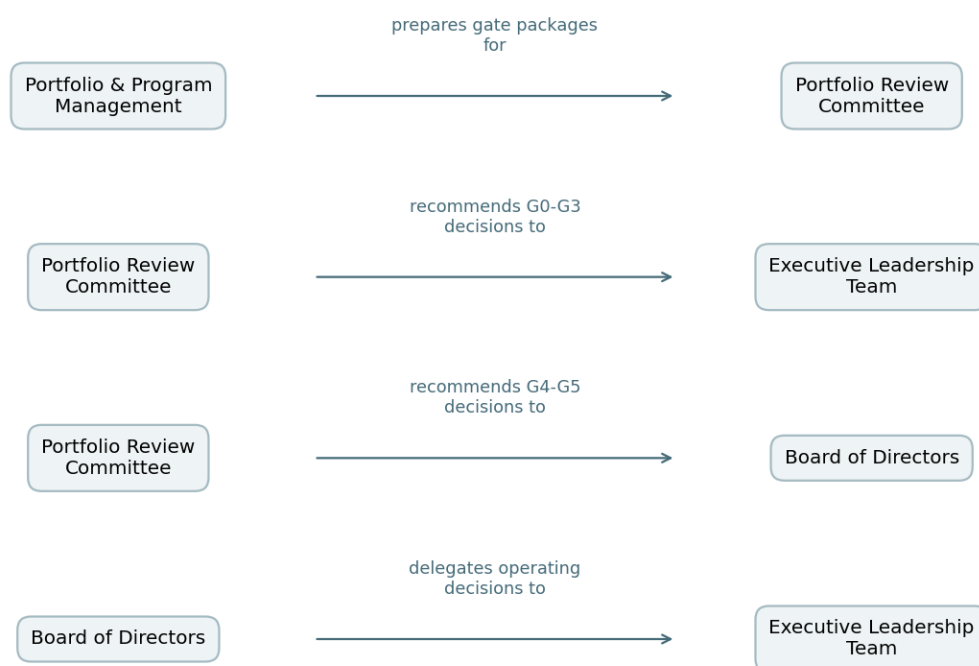
The procedure applies to all wholly owned and in-licensed programs from the start of target validation to the start of Phase 3. Programs licensed to another company and run by the licensee do not pass through these gates; they report through the alliance governance set in the license agreement.

Operating plans, budgets and hiring follow the annual planning cycle and are outside this procedure, except where a gate decision needs money that is not in the approved budget.

2. Decision bodies and decision rights

The Portfolio Review Committee recommends every gate decision. The Chief Executive Officer approves G0 to G3 decisions that fit within the approved budget. The board of directors approves G4 and G5 decisions and any commitment of \$5 million or more that is not in the approved budget.

The committee meets monthly on the third Thursday. The CEO chairs it; members are the Chief Development Officer, the Chief Scientific Officer, the Chief Financial Officer and the Chief Business Officer. The Vice President, Portfolio & Program Management acts as secretary, keeps the decision log and circulates papers. A recommendation needs the chair and at least three members present.



3. The gates

Each gate asks one question. Quantitative criteria for each program type are kept in the gate templates held by Portfolio & Program Management.

G0 – Target validation start: is there enough evidence and a feasible plan to spend a validation budget on this target?

G1 – Lead series: does a chemical series justify lead optimization, with a credible path to a candidate profile?

G2 – Candidate nomination: is one compound ready to enter IND-enabling work, with a backup identified?

G3 – IND and first-in-human: is the IND package complete and the first clinical study ready to place?

G4 – Phase 2 start (G4b for Phase 2b): is the program ready to commit to a Phase 2 study and its budget?

G5 – Phase 3 start: is the program ready for pivotal studies, with regulatory alignment and supply in place?

4. The gate package

The program lead prepares the package with Portfolio & Program Management and circulates it five business days before the meeting. A package that arrives late is deferred to the next meeting unless the chair agrees otherwise.

Program summary and the decision requested.

Evidence against the gate criteria, with gaps stated.

Integrated timeline to the next gate.

Budget and FTE request, split into approved and new money.

Key risks and how they will be tracked.

Partnering position: whether the program is offered, reserved or not available.

The proposed decision and any conditions.

5. Outcomes

The committee can recommend go, conditional go, hold, stop or partner-first. A conditional go carries a dated condition and a named owner; if the condition is not met by its date the program returns to the committee. Hold and stop decisions state what happens to open contracts and to the team.

6. Exceptions

Partner-driven programs may combine two gates in one decision when a partner's plan requires it.

The chair may call an extra meeting when a contract or regulatory date will not wait for the monthly cycle.

Where a partner holds development rights, the alliance manager reports decisions to the committee for information only.

7. Records and revision history

The secretary records each recommendation and approval, with conditions, in the decision log and updates milestone status in the portfolio planning tool within five business days.

Rev. 3.1, April 2025 – board approval threshold for unbudgeted commitments stated as \$5 million; G4b added for Phase 2b; pre-read period set at five business days.

Rev. 3.0, March 2024 – committee membership updated; licensee-run programs moved to alliance governance.